

DEAL INTELLIGENCE

Annabel's \$100M Buy Shows Time Is the Most Expensive Ingredient in CRE

A London club pays \$3,413/sf for a Meatpacking building, revealing how entitlement risk and patience command a premium.

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A source-grounded Light Tower Insight.

The most revealing number in the \$100 million sale of 675 Hudson Street is not the price. It is the \$165 million loan from HSBC that financed the deal. A buyer paying \$3,413 per square foot for a 29,300-square-foot former safe and lock factory is not buying square footage. It is buying time.

Caprice Holdings, the London hospitality operator now owned by Abu Dhabi-based DIAFA, is acquiring the Herring Building in Manhattan's Meatpacking District with plans to convert it into the first international outpost of the private club Annabel's. The seller, Aurora Capital Associates, bought the property in 2023 for \$50 million. In three years, Aurora doubled its money. That return is not a function of rising rents or a tightening cap rate. It is a function of entitlement risk absorbed and a clock managed.

The transaction matters because it shows that time has become a distinct line item in the capital stack. In a market where construction financing is expensive, zoning approvals are uncertain, and interest rates remain elevated, the ability to carry an asset through a multi-year entitlement process is a scarce skill. Aurora did not just buy low and sell high. It bought a building that needed a plan, spent the time to develop one, and sold the plan to a buyer whose business model depends on location and narrative, not on basis.

The facts are straightforward. Caprice Holdings, a unit of DIAFA, purchased the five-story building at 675 Hudson Street for \$100 million. The price works out to \$3,413 per square foot. The seller, Aurora Capital Associates led by Robert Cayre, had acquired the property in 2023 for \$50 million, or \$1,706 per square foot. The deal was financed with a \$165 million loan from HSBC. Pending approval from the city's Landmarks Preservation Commission, Caprice plans to convert the historic building into the New York outpost of Annabel's, the London private club. The club was part of the hospitality empire of British businessman Richard Caring. In April, DIAFA bought a majority stake in Caring's holdings for \$1.8 billion, which included Caprice Holdings. Caring retains a minority interest and serves as executive chairman.

The capital stack interpretation begins with the loan. HSBC is lending \$165 million on a \$100 million purchase. That is not a typo. The loan exceeds the purchase price by \$65 million. The buyer is not financing the acquisition alone. It is financing the renovation, the entitlement process, the rooftop addition, and the build-out of dining rooms, bars, and event spaces. The lender is underwriting the completed asset, not the as-is building. That is a vote of confidence in the sponsor's execution timeline and the eventual cash flow of a private club with a London pedigree in a neighborhood that has become a luxury destination.

The incentive map is clear. Aurora Capital did not sell because it lost faith in the Meatpacking District. It sold because it had done the hard work of identifying a use case, securing a buyer with a specific need, and positioning the asset for a higher and better use. The \$50 million gain is the payoff for three years of carrying cost, legal fees, architectural planning, and relationship building with the Landmarks Preservation Commission. Aurora's constraint was time. It could have held longer, but the risk of a delayed approval or a change in the luxury club market was not worth the incremental upside. The buyer, Caprice Holdings, is paying for speed. It is acquiring a building that already has a preservation plan filed, a design from BSK Architects, and a seller who has already navigated the early stages of the approval process. The \$65 million in additional financing from HSBC gives Caprice the liquidity to execute without waiting for a capital call.

The pattern here is not unique to private clubs. It is visible across commercial real estate. The assets that trade at premium prices are not always the best buildings. They are the buildings where the seller has already absorbed the time risk. A developer who spends two years getting a zoning variance sells the entitled site at a multiple of the unentitled price. A landlord who leases a vacant building to a credit tenant sells at a lower cap rate than the as-is value. The premium is compensation for the time the seller spent and the risk the seller carried. In this case, Aurora carried the entitlement risk for three years and sold at a 100% gross profit. The buyer is paying for the right to open a club in 2028 or 2029 instead of 2031.

The stakes are straightforward for market participants. Owners with assets that require a use

change or a landmark approval should ask whether they are being compensated for the time they are spending. If the exit price does not reflect the entitlement work already done, the seller is leaving money on the table. Lenders should underwrite the sponsor's ability to manage time as carefully as they underwrite the asset's cash flow. HSBC is betting that Caprice can execute a complex renovation in a landmarked building without cost overruns or delays. That is a bet on management, not on real estate. Buyers should ask whether they are paying for time or paying for asset quality. In this deal, Caprice is paying for time. The building is a 177-year-old factory. The value is in the story, the location, and the permission to build a club.

The open question is whether the Landmarks Preservation Commission will approve the curved glass rooftop enclosure designed by BKSK Architects. Preservation officials have expressed reservations, saying the proposed structure does not match the character of the building. If the commission rejects the design, Caprice will have to revise the plan, which will add time and cost. The \$165 million loan from HSBC assumes a certain timeline. A delay would test the sponsor's liquidity and the lender's patience.

The deal is not proof that Manhattan commercial real estate is back to peak pricing. It is proof that time has a price, and the market is willing to pay it when the sponsor is credible and the use case is defensible. Aurora Capital sold time. Caprice Holdings bought it. HSBC financed it. The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and the shortest clock.